

Microsoft (MSFT US)

Buy: Strong 3QFY26 results; robust Azure execution

- ◆ Microsoft reported strong 3QFY26 results driven by significant 40% y-o-y growth at Azure
- ◆ Increasing FY26-30e non-GAAP EPS estimates by 1-13%
- ◆ TP cut to USD571 (from USD593) on lower multiple; maintain Buy on business momentum, backlog, and valuation

3QFY26 results: Revenue came at USD82,886m, 18.3% y-o-y and in line with HSBC (USD82,824m) and about 2% above Visible Alpha consensus (USD 81,458m) estimate. Non-GAAP operating margin came at in 46.33%, 0.66pp y-o-y and was more than 100bps above HSBC (45.25%) and consensus (45.26%) estimates. Non-GAAP EPS came in at USD4.27, 19.9% y-o-y and was USD0.16 above HSBC (USD4.11) and USD0.20 above the consensus (USD 4.07) estimates. The company initiated 4QFY27 guidance, which is somewhat below pre-results consensus. However, guidance includes the one-off impact of USD900m, and net of one-off items it was in line with pre-results consensus. We view company guidance as conservative.

Azure driving strong revenue growth: Azure posted a stellar 40% y-o-y (+39% in constant currency) growth off a large base. The company guided to Azure 4QFY26 constant currency growth of 39%-40% and a further acceleration in 1HFY27. Capital expenditure for Microsoft (mostly for Azure) was USD31.9bn. Management guided to 4QFY26 capex of more than USD40bn, with an implied 1HFY27 capex of cUSD117bn, such that CY26 capex could total more than USD190bn (previous HSBC estimate USD162bn).

Other companies that reported yesterday have also flagged significant capex increases. Alphabet FY26e capex guidance up ~3% to USD180-190bn (from USD170-180bn) and now anticipates a significant increase in FY27e, HSBC now assumes USD250bn, +35% yoy. Meta FY26e guidance increased up ~8% to USD125-145bn (from USD115-135bn). While Amazon did not increase capex guidance, currently USD200bn for FY26e, we have increased our estimate for FY27e to USD250bn, a y-o-y increase of 25%. It appears to us that cumulative capex of major cloud service providers/other data center owners may exceed USD1trn in 2027e.

CoPilot adoption rising sharply: CoPilot is starting to show needed progress, with paid Microsoft CoPilot seas exceeded 20 million vs 15 million flagged in 2QFY26. Notably, we estimate that only about 3.6% of total Microsoft 365 subscribers are currently paying for CoPilot, suggesting potential upside to our estimates on further success. We also are watching for progress on the recent Anthropic partnership.

Attractive valuation: Despite accelerating growth, Microsoft shares are trading at historic lows of 21.5x P/NTM non-GAAP EPS vs its five-year average of 29.2x. Our TP of USD571.00 (was USD593.00) is 29x (was 32x) our NTM non-GAAP EPS of USD19.68 (was USD18.54). Our TP implies an upside of 34.5%; retain Buy.

Equities
Software

United States



MAINTAIN BUY

TARGET PRICE (USD)

571.00

PREVIOUS TARGET (USD)

593.00

SHARE PRICE (USD)

424.46

(as of 29 Apr 2026)

UPSIDE/DOWNSIDE

+34.5%

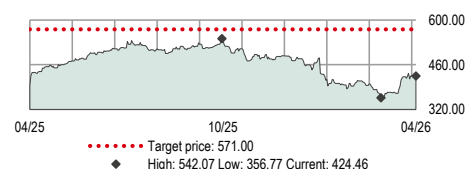
MARKET DATA

Market cap (USDm)	3,153,073	Free float	100%
Market cap (USDm)	3,153,073	BBG	MSFT US
3m ADTV (USDm)	15,117	RIC	MSFT.O

FINANCIALS AND RATIOS (USD)

Year to	06/2025a	06/2026e	06/2027e	06/2028e
HSBC EPS	14.00	16.92	20.71	24.68
HSBC EPS (prev)	13.71	16.79	20.22	23.18
Change (%)	2.1	0.8	2.4	6.5
Consensus EPS	13.37	16.65	19.12	22.35
PE (x)	30.3	25.1	20.5	17.2
Dividend yield (%)	0.8	0.8	0.9	1.0
EV/EBITDA (x)	19.1	16.2	12.7	10.2
ROE (%)	34.2	32.4	31.2	29.4

52-WEEK PRICE (USD)



Source: LSEG IBES, HSBC estimates

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Disclosures & Disclaimer

This report must be read with the disclosures and the analyst certifications in the Disclosure appendix, and with the Disclaimer, which forms part of it.

Issuer of report: HSBC Securities (USA) Inc.

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Financials & valuation: Microsoft

Buy

Financial statements

Year to	06/2025a	06/2026e	06/2027e	06/2028e
Profit & loss summary (USDm)				
Revenue	281,724	331,147	406,233	495,659
EBITDA	162,681	193,556	250,106	315,477
Depreciation & amortisation	-34,153	-38,924	-60,110	-87,282
Operating profit/EBIT	128,528	154,632	189,996	228,195
Net interest	0	0	0	0
PBT	123,627	160,824	184,308	217,442
HSBC PBT	126,319	156,226	189,908	226,442
Taxation	-21,795	-31,497	-35,018	-41,314
Net profit	101,832	129,327	149,289	176,128
HSBC net profit	104,524	126,092	153,825	183,418
Cash flow summary (USDm)				
Cash flow from operations	136,162	169,795	237,718	295,892
Capex	-64,551	-121,146	-240,000	-276,000
Cash flow from investment	-72,599	-125,669	-240,000	-276,000
Dividends	-24,082	-26,435	-28,984	-31,897
Change in net debt	-27,501	25,851	53,266	28,004
FCF equity	71,611	48,649	-2,282	19,892
Balance sheet summary (USDm)				
Intangible fixed assets	142,113	138,986	138,986	138,986
Tangible fixed assets	285,759	420,848	627,957	845,225
Current assets	191,131	183,655	158,487	159,940
Cash & others	94,565	70,825	17,759	-10,046
Total assets	619,003	743,488	925,430	1,144,152
Operating liabilities	232,373	262,691	329,877	400,341
Gross debt	43,151	45,262	45,462	45,662
Net debt	-51,414	-25,563	27,703	55,708
Shareholders' funds	343,479	435,536	550,091	698,148
Invested capital	292,065	409,973	577,794	753,856

Ratio, growth and per share analysis

Year to	06/2025a	06/2026e	06/2027e	06/2028e
Y-o-y % change				
Revenue	14.9	17.5	22.7	22.0
EBITDA	23.5	19.0	29.2	26.1
Operating profit	17.4	20.3	22.9	20.1
PBT	14.7	30.1	14.6	18.0
HSBC EPS	18.6	20.8	22.4	19.2
Ratios (%)				
Revenue/IC (x)	1.0	0.9	0.8	0.7
ROIC	39.5	35.4	31.2	27.8
ROE	34.2	32.4	31.2	29.4
ROA	18.0	19.0	17.9	17.0
EBITDA margin	57.7	58.5	61.6	63.6
Operating profit margin	45.6	46.7	46.8	46.0
EBITDA/net interest (x)				
Net debt/equity	-15.0	-5.9	5.0	8.0
Net debt/EBITDA (x)	-0.3	-0.1	0.1	0.2
CF from operations/net debt			858.1	531.2
Per share data (USD)				
EPS Rep (diluted)	13.64	17.35	20.10	23.70
HSBC EPS (diluted)	14.00	16.92	20.71	24.68
DPS	3.23	3.55	3.90	4.29
Book value	46.01	58.44	74.06	93.95

Key forecast drivers

Year to	06/2025a	06/2026e	06/2027e	06/2028e
Revenue growth, yoy, %	14.9	17.5	22.7	22.0
HSBC EPS growth, yoy, %	18.6	20.9	22.4	19.2
Gross margin, %	68.8	68.1	67.3	66.6
Operating margin, %	45.6	46.7	46.8	46.0

Valuation data

Year to	06/2025a	06/2026e	06/2027e	06/2028e
EV/sales	11.0	9.4	7.8	6.5
EV/EBITDA	19.1	16.2	12.7	10.2
EV/IC	10.6	7.6	5.5	4.3
PE*	30.3	25.1	20.5	17.2
PB	9.2	7.3	5.7	4.5
FCF yield (%)	2.3	1.5	-0.1	0.6
Dividend yield (%)	0.8	0.8	0.9	1.0

* Based on HSBC EPS (diluted)

ESG metrics

Environmental Indicators	06/2024a	Governance Indicators	06/2025a
GHG emission intensity*	[n/a]	No. of board members	12
Energy intensity*	[n/a]	Average board tenure (years)	[n/a]
CO ₂ reduction policy	Yes	Female board members (%)	41.7
Social Indicators		Board members independence (%)	91.7
Employee costs as % of revenues	[n/a]		
Employee turnover (%)	[n/a]		
Diversity policy	Yes		

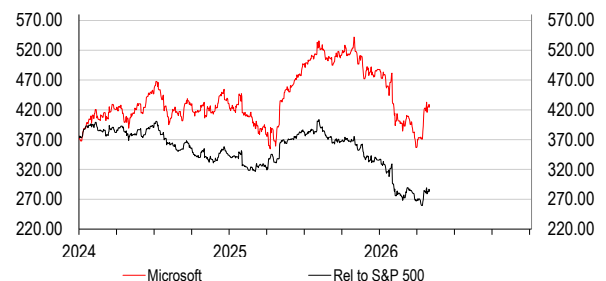
Source: Company data, HSBC

* GHG intensity and energy intensity are measured in kg and kWh respectively against revenue in USD '000s

Issuer information

Share price (USD)	424.46	Free float	100%
Target price (USD)	571.00	Sector	Software
RIC (Equity)	MSFT.O	Country/Region	United States
Bloomberg (Equity)	MSFT US	Analyst	Stephen Bersey
Market cap (USDm)	3,153,073	Contact	+1 212 525 4153

Price relative



Source: HSBC

Note: Priced at close of 29 Apr 2026

Strong 3QFY26 results

- ◆ Non-GAAP operating profit came in at USD38,398m, 20% y-o-y and above HSBC (USD37,477m) and consensus (USD 36,869m) estimates.
- ◆ Non-GAAP net income came at USD31,792m, 19.6% y-o-y and above HSBC (USD30,642m) and consensus (USD 29,944m) estimates.
- ◆ Non-GAAP EPS of USD4.27 was up 19.9% y-o-y, USD0.16 above HSBC (USD4.11), and was USD0.20 above the consensus (USD 4.07) estimate.

Microsoft 3QFY26 results: Actual vs estimates

USDm, FYe June, Non-GAAP	3Q26a	HSBCe	vs HSBCe	Consensus	vs. Consensus	3Q25	y-o-y	2Q26	q-o-q
Revenue	82,886	82,824	0.1%	81,458	1.8%	70,066	18.3%	81,273	2.0%
Gross profit	56,058	55,860	0.4%	54,684	2.5%	48,147	16.4%	55,295	1.4%
Gross margin	67.6%	67.4%	0.19pp	67.1%	0.5pp	68.7%	-1.08pp	68.0%	-0.4pp
Operating profit	38,398	37,477	2.5%	36,869	4.1%	32,000	20.0%	38,275	0.3%
Operating margin	46.3%	45.2%	1.08pp	45.3%	1.07pp	45.7%	0.66pp	47.1%	-0.77pp
Net income	31,792	30,642	3.8%	29,944	6.2%	26,592	19.6%	30,875	3.0%
Net margin	38.4%	37.0%	1.36pp	36.8%	1.6pp	38.0%	0.4pp	38.0%	0.37pp
Diluted EPS, USD	4.27	4.11	3.9%	4.07	4.8%	3.56	19.9%	4.14	3.1%

Source: Company data, Visible Alpha, HSBC estimates

Microsoft: Actual vs guidance vs pre-results estimates

Non-GAAP (USDm)	3Q26a			4Q26e		
	Actual	Consensus	Prior Guidance	HSBC*	Consensus*	Guidance
Revenue	82,886	81,458	81,200	89,742	87,477	87,250
COGS	-26,828	-26,774	-26,750	-28,747	-29,127	-29,500
Gross profit	56,058	54,684	54,450	60,995	58,350	57,750
Gross margin	67.6%	67.1%	67.1%	68.0%	66.7%	66.2%
Operating costs	-17,660	-17,816	-17,850	-20,491	-19,654	-19,350
Operating profit	38,398	36,869	36,600	40,503	38,696	38,400

Source: Company data, Visible Alpha, HSBC estimates *Pre-results estimates

Microsoft: Evolution of results

USDm, FYE June	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26	3Q26	4Q26e	4Q26 guidance
Revenue	65,585	69,632	70,066	76,441	77,673	81,273	82,886	89,315	87,250
y-o-y	16.0%	12.3%	13.3%	18.1%	18.4%	16.7%	18.3%	16.8%	14.1%
Costs	-35,033	-37,979	-38,066	-42,118	-39,712	-42,998	-44,488	-49,317	
y-o-y	18.3%	8.5%	11.1%	14.4%	13.4%	13.2%	16.9%	17.1%	
Operating profit (Non-GAAP)	30,552	31,653	32,000	34,323	37,961	38,275	38,398	39,998	38,400
Margin	46.6%	45.5%	45.7%	44.9%	48.9%	47.1%	46.3%	44.8%	44.0%
One-off items	0	0	0	0	0	0	0	0	
Operating profit (GAAP)	30,552	31,653	32,000	34,323	37,961	38,275	38,398	39,998	
Margin	46.6%	45.5%	45.7%	44.9%	48.9%	47.1%	46.3%	44.8%	
Net profit (Non-GAAP)	25,355	25,344	26,592	27,233	30,833	30,875	31,792	32,592	
EPS (Non-GAAP) (USD)	3.39	3.39	3.56	3.65	4.13	4.14	4.27	4.38	
y-o-y	13.4%	15.7%	21.1%	23.7%	21.8%	22.1%	19.9%	20.0%	
Total debt	45,117	44,970	42,881	43,151	43,208	40,262	40,262	45,262	
Cash	78,428	71,555	79,618	94,565	102,012	89,462	78,272	70,825	
Net debt	-33,311	-26,585	-36,737	-51,414	-58,804	-49,200	-38,010	-25,563	
Operating cash flow	34,180	22,291	37,044	42,647	45,057	35,758	46,679	42,301	
Capex	-20,000	-22,600	-21,400	-24,200	-34,900	-37,500	-31,900	-41,000	
FCF	14,180	-309	15,644	18,447	10,157	-1,742	14,779	1,301	
Shareholder dividends	-5,574	-6,170	-6,169	-6,169	-6,169	-6,762	-6,756	-6,748	
Net share buybacks	-4,107	-4,986	-4,781	-4,546	-5,650	-7,415	-4,627	-7,500	
Acquisitions	-1,849	-1,405	-981	-1,743	-578	-455	-258	0	

Source: Company data, HSBC estimates

Azure: The hero of the show

Azure posted a stellar 40% y-o-y growth off a large base (+39% in constant currency) and a strong comparable in the year-ago result. Management guided Azure to 4QFY26 constant currency growth of 39%-40% and a further acceleration in 1HFY27. As flagged in our preview note [Microsoft to gain from Anthropic tie-up](#) (dated 28 April 2026), foundation model providers such as Anthropic have reported strong revenue growth the last few months, leading to high compute demand. All the major cloud infrastructure providers have reported strong revenue growth this results season. Microsoft expects AI compute demand to exceed supply at least throughout CY2026.

Cloud Infrastructure providers: Surging revenue on a high base

CY	1Q24	2Q24	3Q24	4Q24	1Q25	2Q25	3Q25	4Q25	1Q26
Revenue (USDm)									
AWS	25,037	26,281	27,452	28,786	29,267	30,873	33,006	35,579	37,587
Google Cloud	9,574	10,347	11,353	11,955	12,260	13,624	15,157	17,664	20,028
Oracle Cloud as Infra	1,790	1,990	2,190	2,430	2,660	3,020	3,300	4,100	4,900
CoreWeave	189	395	584	747	982	1,213	1,365	1,572	NA
Microsoft: Azure*	14,472	15,647	16,835	17,340	19,248	21,750	23,569	24,103	26,947
Revenue growth (YoY)									
AWS	17%	19%	19%	19%	17%	17%	20%	24%	28%
Google Cloud	28%	29%	35%	30%	28%	32%	34%	48%	63%
Oracle Cloud as Infra	49%	42%	46%	52%	49%	52%	51%	69%	84%
CoreWeave	NA	NA	NA	NA	420%	207%	134%	110%	NA
Microsoft: Azure	35%	34%	33%	31%	33%	39%	40%	39%	40%

Source: Company data, HSBC estimates *Even historical numbers are estimated by HSBC

Capex: The well flagged villain

As flagged in our preview, the runaway revenue growth for cloud infrastructure providers, including Microsoft Azure, comes alongside the need for heavy capex investing. Capital expenditure for Microsoft (mostly for Azure) was USD31.9bn, down sequentially, due to normal variability from cloud infrastructure build-outs and the timing of delivery of finance leases. The company guided to 4QFY26 capex of more than USD40bn, including USD5bn impact of higher component costs. 1H FY27 capex is likely to exceed USD117bn such that CY26 capex could total more than USD190bn (previous HSBC estimate USD162bn). CY26e capex guidance of USD190bn includes USD25bn impact of higher component costs. 1H27 implied capex guidance of USD117bn can be reasonably extrapolated to well above USD200bn per annum capex territory.

However, with short- and long-term demand exceeding capacity, Microsoft is not alone in the capex trend. Other companies that reported yesterday have also flagged significant capex increases.

- ◆ Alphabet FY26e capex guidance up ~3% to USD180-190bn (from USD170-180bn) and now anticipates a significant increase in FY27e, HSBC now assumes USD250bn, +35% yoy.
- ◆ Meta FY26e guidance increased up ~8% to USD125-145bn (from USD115-135bn).
- ◆ While Amazon did not increase capex guidance, currently USD200bn for FY26e, we increased our estimate for FY27e to USD250bn, a yoy increase of 25%.

It appears to us that cumulative capex of major cloud service providers/other data center owners may exceed USD1trn (not a typo) per annum starting 2027e.

Cloud Infrastructure providers: Massive capex leading to sharp revenue growth

CY	2022	2023	2024	2025	2026e	2027e	2028e
Revenue (USDm)							
AWS	80,096	90,757	107,556	128,725	161,654	203,007	252,908
Google Cloud	26,280	33,088	43,229	58,705	97,677	174,423	239,176
Oracle Cloud as Infra	3,470	5,700	8,400	13,080	25,649	58,788	107,905
CoreWeave	16	229	1,915	5,131	12,634	23,851	35,729
Microsoft Azure*	37,324	48,292	64,295	88,670	129,427	194,621	269,492
Revenue growth (YoY)							
AWS		13.3%	18.5%	19.7%	25.6%	25.6%	24.6%
Google Cloud		25.9%	30.6%	35.8%	66.4%	78.6%	37.1%
Oracle Cloud as Infra		64.3%	47.4%	55.7%	96.1%	129.2%	83.5%
CoreWeave		1346.3%	736.6%	167.9%	146.2%	88.8%	49.8%
Microsoft Azure*		29.4%	33.1%	37.9%	46.0%	50.4%	38.5%
Capex (USDm)							
AWS	30,402	31,000	52,638	94,860	165,537	214,503	219,688
Google	31,485	32,251	52,535	91,447	190,000	250,000	250,000
Oracle	6,678	6,935	10,745	35,477	80,635	150,000	150,000
CoreWeave	72	2,943	8,702	10,309	36,626	36,239	28,660
Microsoft	28,400	41,200	75,600	118,000	192,900	258,000	296,700
META	31,186	27,045	37,256	69,691	133,395	137,384	137,384
Total Big 6	128,223	141,374	237,476	419,785	799,093	1,046,125	1,082,432
Capex (y-o-y)							
AWS	73.8%	2.0%	69.8%	80.2%	74.5%	29.6%	2.4%
Google	27.8%	2.4%	62.9%	74.1%	107.8%	31.6%	0.0%
Oracle	114.2%	3.8%	54.9%	230.2%	127.3%	86.0%	0.0%
CoreWeave		3964.9%	195.7%	18.5%	255.3%	-1.1%	-20.9%
Microsoft	3.3%	45.1%	83.5%	56.1%	63.5%	33.7%	15.0%
META	68.0%	-13.3%	37.8%	87.1%	91.4%	3.0%	0.0%
Total Big 6	40.4%	10.3%	68.0%	76.8%	90.4%	30.9%	3.5%

Source: Company data, HSBC estimates

Cloud infrastructure providers: Comparative asset turnover, margins and ROIC

USDm, FYE Dec	2024	2025	2026e	2027e	2028e	2029e	2030e	2031e	2032e
Asset turnover: Gross assets, ex wip and incl ROU assets									
Oracle: OCI	35.6%	31.9%	26.9%	27.5%	30.4%	31.9%	33.2%	NA	NA
Amazon: AWS	85.8%	66.7%	51.4%	41.4%	37.0%	35.7%	36.4%	NA	NA
Google Cloud	NA	NA	NA	NA	NA	NA	NA	NA	NA
Microsoft	41.6%	39.3%	37.9%	36.2%	34.4%	33.4%	33.2%	NA	NA
CoreWeave	NA	22.8%	24.1%	25.5%	26.7%	26.7%	26.6%	26.3%	25.5%
Non-GAAP operating margin									
Oracle*	44.2%	42.9%	41.9%	39.2%	36.9%	35.6%	35.0%	NA	NA
Amazon: AWS	45.1%	43.1%	44.4%	44.7%	45.0%	44.4%	43.9%	NA	NA
Google Cloud	14.1%	23.7%	30.6%	29.9%	29.9%	NA	NA	NA	NA
Microsoft	45.0%	46.7%	46.9%	46.3%	46.0%	45.9%	45.6%	NA	NA
CoreWeave	18.6%	13.0%	8.8%	15.4%	16.9%	16.3%	15.9%	14.1%	8.6%
ROIC									
Oracle: OCI	10.3%	9.3%	7.8%	8.0%	8.8%	9.3%	9.7%	NA	NA
Amazon: AWS	38.7%	28.8%	22.8%	18.5%	16.7%	15.9%	16.0%	NA	NA
Google Cloud	NA	NA	NA	NA	NA	NA	NA	NA	NA
Microsoft	16.4%	15.7%	15.2%	14.5%	13.8%	13.4%	13.3%	NA	NA
CoreWeave	25.2%	8.2%	4.6%	8.3%	10.1%	11.1%	12.0%	12.2%	8.2%

Source: Company data, HSBC estimates *OCI margins not separately reported. ROIC calculated on the basis of estimated OCI margin

Exceptional growth at Microsoft 365 CoPilot

CoPilot is starting to show needed progress, with paid Microsoft CoPilot seas exceeded 20 million vs 15 million flagged in 2QFY26. Notably, we estimate that only about 3.6% of total Microsoft 365 subscribers are currently paying for CoPilot, suggesting potential upside to our estimates on further success. We also are watching for progress on the recent Anthropic partnership.

Microsoft: Revenue by segment

FYE June, USDm	1Q25	2Q25	3Q25	4Q25	1Q26	2Q26e	3Q26e	4Q26e
Revenue	65,585	69,632	70,066	76,441	77,673	81,273	82,886	89,315
Server products and cloud services	22,155	23,641	24,761	27,878	28,872	30,865	32,592	36,495
Azure	16,835	17,340	19,248	21,750	23,569	24,103	26,947	30,367
Other server products	5,320	6,301	5,513	6,128	5,303	6,762	5,645	6,128
Microsoft 365 Commercial products and cloud services	20,449	21,117	21,883	24,318	23,966	24,524	25,593	27,844
Gaming	5,621	6,581	5,721	5,532	5,508	5,958	5,341	5,366
Windows & devices	4,329	4,512	4,144	4,329	4,551	4,479	4,041	3,593
LinkedIn	4,292	4,587	4,311	4,622	4,714	5,082	4,832	5,107
Search and news advertising	3,225	3,558	3,504	3,591	3,697	3,812	3,808	3,914
Enterprise & partner Services	1,928	1,892	1,946	1,994	2,022	2,038	2,087	2,114
Dynamics	1,849	1,913	1,929	2,136	2,136	2,204	2,292	2,414
Microsoft 365 Consumer products and cloud services	1,727	1,821	1,821	2,035	2,204	2,305	2,297	2,462
Revenue (y-o-y)	16%	12%	13%	18%	18%	17%	18%	17%
Server products and cloud services	23%	21%	22%	27%	30%	31%	32%	31%
Azure	33%	31%	33%	39%	40%	39%	40%	40%
Other server products	-2%	-1%	-5%	-2%	0%	7%	2%	0%
Microsoft 365 Commercial products and cloud services	13%	15%	11%	16%	17%	16%	17%	15%
Gaming	43%	-7%	5%	10%	-2%	-9%	-7%	-3%
Windows & devices	0%	3%	1%	2%	5%	-1%	-2%	-17%
LinkedIn	10%	9%	7%	9%	10%	11%	12%	11%
Search and news advertising	7%	12%	15%	17%	15%	7%	9%	9%
Enterprise & partner Services	-1%	-1%	5%	7%	5%	8%	7%	6%
Dynamics	14%	15%	11%	18%	16%	15%	19%	13%
Microsoft 365 Consumer products and cloud services	5%	8%	10%	21%	28%	27%	26%	21%

Source: Company data, HSBC estimates

Changes in HSBC estimates

We are increasing our FY26-30 non-GAAP EPS estimates by 1-13%. We are also significantly increasing our capex estimates, as explained above.

Microsoft: Changes in HSBC estimates

FYe June, USDm	2022	2023	2024	2025	2026e	2027e	2028e	2029e	2030e
Revenue									
Old	198,270	211,915	245,122	281,724	331,512	397,903	461,327	532,538	612,368
New	198,270	211,915	245,122	281,724	331,147	406,233	495,659	592,588	697,217
% change	0.0%	0.0%	0.0%	0.0%	-0.1%	2.1%	7.4%	11.3%	13.9%
Non-GAAP operating profit									
Old	83,383	89,694	109,433	128,528	154,216	185,086	211,777	243,826	277,219
New	83,383	89,694	109,433	128,528	154,632	189,996	228,195	272,356	316,857
% change	0.0%	0.0%	0.0%	0.0%	0.3%	2.7%	7.8%	11.7%	14.3%
Non-GAAP net profit									
Old	69,447	73,307	88,136	104,524	125,160	150,333	172,359	186,016	212,696
New	69,447	73,307	88,136	104,524	126,092	153,825	183,418	205,368	239,819
% change	0.0%	0.0%	0.0%	0.0%	0.7%	2.3%	6.4%	10.4%	12.8%
Non-GAAP EPS									
Old	9.21	9.81	11.80	14.00	16.79	20.22	23.18	24.98	28.51
New	9.21	9.81	11.80	14.00	16.92	20.71	24.68	27.59	32.13
% change	0.0%	0.0%	0.0%	0.0%	0.8%	2.4%	6.5%	10.4%	12.7%
Capex									
Old	29,200	31,900	55,700	86,285	156,400	174,957	201,201	231,381	254,519
New	29,200	31,900	55,700	88,200	145,300	240,000	276,000	317,400	349,140
% change	0.0%	0.0%	0.0%	2.2%	-7.1%	37.2%	37.2%	37.2%	37.2%

Source: Company data, HSBC estimates

Attractive valuation

Despite accelerating growth, Microsoft shares are trading at a depressed 21.5x P/NTM non-GAAP EPS, versus a five-year average of 29.2x. However, the market has recently derated the overall software sector on concerns of AI competition (which we see as unreasonable; see [Can AI replace software?](#) (dated 9 Feb 2026)), and we are adjusting our valuation multiple down slightly to reflect the sector's rerating. Thus, our TP of USD571 (was USD593) is based on 29x (was 32x) our NTM non-GAAP EPS of USD19.68 (was USD18.54). Our TP implies an upside of 34.5% and we maintain our Buy rating.

The table below shows relative valuation of various companies under our coverage if we use share based compensation as a real expenditure.

Comparative valuation

Company	Ticker	Rating	CMP (USD)	TP (USD)	PE (non-GAAP, after SBC)				EV/EBIT (non-GAAP, after SBC)				EPS CAGR 26-28e	PEG 26e
					CY25	CY26e	CY27e	CY28e	CY25	CY26e	CY27e	CY28e		
Oracle	ORCL US	Buy	163.83	345.00	31.2	31.0	22.7	16.0	26.3	22.4	18.3	13.8	39.2%	0.79
Adobe	ADBE US	Hold	243.57	282.00	14.4	12.8	11.8	10.8	11.5	10.3	8.7	7.4	9.0%	1.42
Autodesk	ADSK US	Buy	235.87	380.00	44.4	34.9	26.1	23.1	26.2	20.3	16.8	14.0	22.8%	1.53
Salesforce	CRM US	Buy	181.22	350.00	18.7	19.1	16.2	14.0	16.7	14.8	12.6	10.9	16.6%	1.15
CrowdStrike	CRWD US	Buy	452.38	446.00	2,420.6	523.4	292.1	103.9	-1,065.1	873.7	358.7	94.7	124.4%	4.21
Fair Isaac	FICO US	Reduce	1,043.57	707.00	39.4	23.9	23.3	23.8	28.7	18.1	17.9	18.4	0.4%	61.13
HP	HPQ US	Buy	20.14	26.40	6.3	6.9	5.8	5.3	6.2	6.7	5.8	5.5	14.3%	0.48
Intuit	INTU US	Buy	395.08	897.00	24.0	21.4	17.0	14.9	18.6	16.1	12.3	10.0	20.0%	1.07
Microsoft	MSFT US	Buy	424.46	571.00	27.5	22.6	18.8	15.8	21.9	18.5	15.3	12.8	19.9%	1.14
ServiceNow	NOW US	Buy	88.89	177.00	NA	37.5	29.1	21.7	38.5	29.6	21.9	15.3	31.5%	1.19
Palantir	PLTR US	Buy	137.97	205.00	287.4	133.6	87.4	68.5	220.8	100.9	65.1	51.0	39.7%	3.37
SAP (EUR)	SAP GR	Buy	145.88	185.00	23.9	20.7	17.6	15.7	16.1	14.4	12.1	10.4	15.0%	1.38
Snowflake	SNOW US	Hold	141.22	176.00	-42.2	-55.8	-76.1	-95.1	-43.1	-46.4	-59.2	-85.9	NA	NA
TE Connectivity	TEL US	Hold	205.25	234.00	21.5	18.0	16.0	14.4	17.8	14.6	12.7	14.1	11.9%	1.52
Median					24.0	21.4	17.6	15.7	18.6	17.0	15.3	12.8	19.9%	1.29

Source: LSEG Datastream, Company data, HSBC estimates

Downside risks include higher-than-expected competitive intensity, worse-than-expected stock market or macroeconomic environment, adverse regulatory action and cybersecurity risks.

Microsoft: Summary sheet

USDm, FYE June	2020	2021	2022	2023	2024	2025	2026e	2027e	2028e	2029e	2030e
Revenue	143,015	168,088	198,270	211,915	245,122	281,724	331,147	406,233	495,659	592,588	697,217
y-o-y		17.5%	18.0%	6.9%	15.7%	14.9%	17.5%	22.7%	22.0%	19.6%	17.7%
Costs	-90,056	-98,172	-114,887	-122,221	-135,689	-153,196	-176,515	-216,238	-267,464	-320,232	-380,360
y-o-y		9.0%	17.0%	6.4%	11.0%	12.9%	15.2%	22.5%	23.7%	19.7%	18.8%
Operating profit (Non-GAAP)	52,959	69,916	83,383	89,694	109,433	128,528	154,632	189,996	228,195	272,356	316,857
Margin	37.0%	41.6%	42.1%	42.3%	44.6%	45.6%	46.7%	46.8%	46.0%	46.0%	45.4%
One-off items	0	0	0	-1,171	0	0	0	0	0	0	0
Operating profit (GAAP)	52,959	69,916	83,383	88,523	109,433	128,528	154,632	189,996	228,195	272,356	316,857
Margin	37.0%	41.6%	42.1%	41.8%	44.6%	45.6%	46.7%	46.8%	46.0%	46.0%	45.4%
Net profit (Non-GAAP)	44,281	60,651	69,447	73,307	88,136	104,524	126,092	153,825	183,418	205,368	239,819
EPS (Non-GAAP) (USD)	5.76	7.97	9.21	9.81	11.80	14.00	16.92	20.71	24.68	27.59	32.13
y-o-y		38.4%	15.6%	6.5%	20.3%	18.6%	20.9%	22.4%	19.2%	11.8%	16.5%
Total debt	63,327	58,146	49,781	47,237	51,630	43,151	45,262	45,462	45,662	45,862	46,062
Cash	136,527	130,334	104,757	111,262	75,543	94,565	70,825	17,759	-10,046	-14,582	20,409
Net debt	-73,200	-72,188	-54,976	-64,025	-23,913	-51,414	-25,563	27,703	55,708	60,444	25,653
Operating cash flow	60,675	76,740	89,035	87,582	118,548	136,162	169,795	237,718	295,892	363,807	438,692
Capex*	-19,000	-24,200	-29,200	-31,900	-55,700	-88,200	-145,300	-240,000	-276,000	-317,400	-349,140
FCF	41,675	52,540	59,835	55,682	62,848	47,962	24,495	-2,282	19,892	46,407	89,552
Shareholder dividends	-15,137	-16,521	-18,135	-19,800	-21,771	-24,082	-26,435	-28,984	-31,897	-35,143	-38,761
Share buybacks	-21,625	-25,692	-30,855	-20,379	-15,252	-16,364	-23,203	-22,000	-16,000	-16,000	-16,000
Acquisitions	-2,521	-8,909	-22,038	-1,670	-69,132	-5,978	-1,291	0	0	0	0

Source: Company data, HSBC estimates *Including assets acquired via finance lease

Disclosure appendix

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Upside/Downside is the percentage difference between the target price and the share price.

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*A stock was classified as volatile if its historical volatility had exceeded 40%, if the stock had been listed for less than 12 months (unless it was in an industry or sector where volatility is low) or if the analyst expected significant volatility. However, stocks which we did not consider volatile may in fact also have behaved in such a way. Historical volatility was defined as the past month's average of the daily 365-day moving average volatilities. In order to avoid misleadingly frequent changes in rating, however, volatility had to move 2.5 percentage points past the 40% benchmark in either direction for a stock's status to change.

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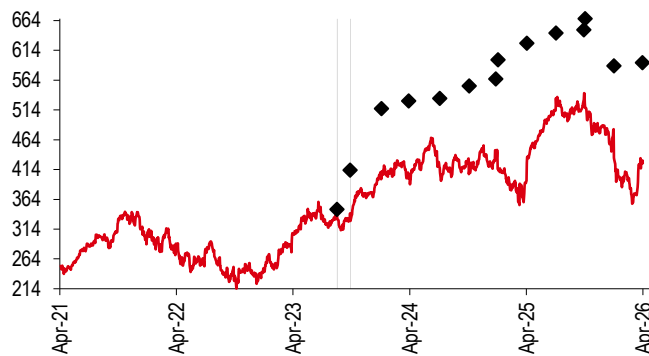
Buy	59%	(12% of these provided with Investment Banking Services in the past 12 months)
Hold	36%	(12% of these provided with Investment Banking Services in the past 12 months)
Sell	6%	(6% of these provided with Investment Banking Services in the past 12 months)

For the purposes of the distribution above the following mapping structure is used during the transition from the previous to current rating models: under our previous model, Overweight = Buy, Neutral = Hold and Underweight = Sell; under our current model Buy = Buy, Hold = Hold and Reduce = Sell. For rating definitions under both models, please see “Stock ratings and basis for financial analysis” above.

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Share price and rating changes for long-term investment opportunities

Microsoft (MSFT.O) share price performance USD Vs HSBC rating history



Source: HSBC

Rating & target price history

From	To	Date	Analyst
Add	Terminated	22 Feb 2010	
N/A	Hold	14 Sep 2023	Stephen Bersey
Hold	Buy	25 Oct 2023	Stephen Bersey
Target price	Value	Date	Analyst
Price 1	32.50	18 Oct 2002	
Price 2	347.00	14 Sep 2023	Stephen Bersey
Price 3	413.00	25 Oct 2023	Stephen Bersey
Price 4	516.00	01 Feb 2024	Stephen Bersey
Price 5	529.00	26 Apr 2024	Stephen Bersey
Price 6	533.00	01 Aug 2024	Stephen Bersey
Price 7	554.00	01 Nov 2024	Stephen Bersey
Price 8	566.00	24 Jan 2025	Stephen Bersey
Price 9	598.00	31 Jan 2025	Stephen Bersey
Price 10	626.00	01 May 2025	Stephen Bersey
Price 11	643.00	31 Jul 2025	Stephen Bersey
Price 12	648.00	27 Oct 2025	Stephen Bersey
Price 13	667.00	31 Oct 2025	Stephen Bersey
Price 14	588.00	29 Jan 2026	Stephen Bersey
Price 15	593.00	28 Apr 2026	Stephen Bersey

Source: HSBC

To view a list of all the independent fundamental ratings/recommendations disseminated by HSBC during the preceding 12-month period, and the location where we publish our quarterly distribution of non-fundamental recommendations (applicable to Fixed Income and Currencies research only), please use the following links to access the disclosure page:

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Company	Ticker	Recent price	Price date	Disclosure
MICROSOFT	MSFT.OQ	424.46	29 Apr 2026	6, 7

Source: HSBC

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